IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/58/CHE/2021
In
CA/772/CAA/2020

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Of

M/S. SRI HARI VALLABHAA ENTERPRISES & INVESTMENTS PRIVATE LIMITED
CIN NO: U65993TN1995PTC029743
Reg.Off:
No. 10, North Terminus, Tollgate, Chennai - 600081

... Transferor Company

With

M/S. DHANVARSHA ENTERPRISES & INVESTMENTS PRIVATE LIMITED
CIN NO: U65993TN1995PTC029749
Reg.Off:
No. 10, North Terminus, Tollgate, Chennai - 600081

... Transferee Company

Order Pronounced on ***10th June 2022***

CORAM:
JUSTICE (RETD.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
SHRI B. ANIL KUMAR, MEMBER (TECHNICAL)

For the Applicants : *R. Inbaraju, Advocate*

ORDER

Per: - **B. ANIL KUMAR, MEMBER (TECHNICAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **M/s. SRI HARI VALLABHAA ENTERPRISES & INVESTMETNS PRIVATE LIMITED** *(hereinafter referred to as "Transferor Company")* with **M/s. DHANVARSHA ENTERPRISES & INVESTMENTS PRIVATE LIMITED** *(hereinafter referred to as "Transferee Company ")* under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed as 'Annexure - 13' to the typed set filed along with the Petition.

3. **1ST MOTION APPLICATION – IN BRIEF**

The Transferor and Transferee Companies have filed the First Motion Application vide CA/772/CAA/2020, seeking directions for dispensing the Meeting of Equity Shareholders of the Transferor and Transferee Companies with the meeting of the Equity Shareholders and Unsecured Loan Creditors of the Transferor Company and also for the Transferee Company. Based on such application moved under Sections 230 to 232

of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 22.09.2021, wherein all the meetings of the Equity Shareholders and Unsecured Loan Creditors of the Transferor Company and also for the Transferee Company were dispensed with and the Applicant Companies were directed to present the Company Petition. Subsequently the second motion petition was filed before this Tribunal by the petitioner companies on 20.10.2021, For sanction of the Scheme of Amalgamation by this Tribunal.

4. RATIONALE OF THE SCHEME

4.1. The rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Company would *inter alia* result in the following benefits;

a. Simplify management structure, leading to better administration and reduction in costs from more focused operation efforts, rationalisation, standardisation and simplification of business processes and the elimination of duplication and rationalisation of administrative expenses.

b. Greater Integration and financial strength for the amalgamation entity, which would result in maximising overall shareholder value and will improve the financial position of the amalgamated entity.

c. The Amalgamation would lead to greater and efficient use of infrastructure facilities and optimum utilisation of the available resources

resulting in substantial reduction in statutory compliances.

d. Simplification of entity structure by eliminating multiple companies having similar objective or business.

e. The restructuring and consolidation of inter-company shareholding shall benefit the shareholders in terms of value of the combined entity.

5. In the second motion Petition filed by the Petitioner Companies, this Tribunal had directed the Petitioner Companies to issue notices to the Statutory / Regulatory Authorities namely, (a) Central Government through the office of the Regional Director (Southern Region), Ministry of Corporate Affairs (MCA) (b) Registrar of Companies, Chennai (c) The Income Tax Department of the office having jurisdiction over the respective companies indication specifically their PAN Nos. in the communication (d)The Official Liquidator (e) The Reserve Bank of India and other sectoral regulators, if any, who may have significant bearing on the operation of Petitioner Company as well as for paper publications to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition)

6. In compliance with the said directions issued by this Tribunal, the Petitioner Companies had filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted

above and a perusal of the same discloses that the Petitioner Companies have effected paper publications as directed by the Tribunal in "Business Standard" (All India Edition) in English and "Makkal Kural" (Tamil Nadu Edition) in Tamil on 18th February, 2022. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on 17th February, 2022 (ii) Registrar of Companies Chennai on 17th February, 2022 (iii) Income Tax Department on 17th February, 2022, (iv) The Official Liquidator on 17th February, 2022 and The Reserve Bank of India, Chennai and the proof of the same by way of affidavit of service have been filed with the registry through online on 18.02.2022 and physically vide Sr. No. 1123 of 2022. Further the Petitioner Companies have also given undertaking that the Scheme of Amalgamation proposed to be entered into between the Transferor Company and the Transferee Company does not fall under the required threshold limit as prescribed under Section 5 and 6 of the Competition Act, 2002. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued has filed his Report

on 24th February, 2022 before this Tribunal and has stated that Clause 7 of Part C of the Scheme provides for the protection of the interest of the employees of the Transferor Company. It was further observed that as per the report of RoC, Chennai, the Transferor Company and Transferee Company are regular in filing their statutory returns and has reported that there is no prosecution / Inspection or Investigation is pending against the Companies.

7.2. Further the RD has observed that Clause 12.2 of Part D of the Scheme has stated that the authorized capital of the Transferor Company will be merged with the authorized capital of the Transferee Company and in the said circumstances sought for a direction to the Transferee Company to remit the difference of fee, if any, in accordance with Section 232(3)(i) of the Companies Act, 2013 and to file the amended MoA and AoA with the RoC, Chennai for its record. Apart from the above, the Regional Director has not made any objection to the Scheme.

7.3. **OFFICIAL LIQUIDATOR**

In relation to the Official Liquidator *(hereinafter referred to as 'OL')* to whom the notice was issued in the first

motion stage itself has filed the Report before this Tribunal on 24th January 2022 and has stated that they have appointed M/s. B.K Jain & Associates., Chartered Accountants, one of the firms of Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Company. M/s. B.K Jain & Associates., in their report submitted before the Official Liquidator have observed as follows

- The Transferor Company are maintaining proper books of accounts and statutory records as per requirements of the Companies Act, 2013 prescribed and no discrepancies were noted.

- Further report that the Transferor Company has not accepted any deposits from the public under the provisions of Sections 73 to 76 of the Companies Act,2013.

- The appointed Chartered Accountant firm has examined the records and documents of the registers of the Registrar of Companies, Chennai and nothing adverse or objectionable affecting the interest of the Transferor Company or its members or prejudicial to the public interest was noticed.

- From the verification, the appointed Chartered Accountant firm has found that the Transferor

Company has been regular in payments of all statutory dues. The appointed Chartered Accountant firm is of the opinion that there are no statutory dues or any other dues payable by the Transferor Company except as referred in the Auditor's report on the financial statements for the respective years.

7.4. From the above observations made by M/s. B.K Jain & Associates., the Official Liquidator sought to take on record and consider the report of the appointed Chartered Accountant firm and has also sought to fix the remuneration payable to the Chartered Accountant firm who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of *Rs.30,000/- (Rupees Thirty Thousand Only)* to the Official Liquidator for the payment of fees payable towards the appointed Chartered Accountant firm who has investigated into the affairs of the Transferor Company.

7.5. **OTHER STATUTORY AUTHORITIES**

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory

authorities viz. the Income Tax Department, do not have any objection to the sanction of the Scheme.

8. **VALUATION REPORT**

The Learned Authorized Representative for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from Mr. Saurobh Kumar Barick, Registered Valuer dated 23rd September,2020 wherein it has been recommended by the independent Registered Valuer as follows

> *"3.28 fully paid-up Consideration Equity Shares of face value of Rs.10/- each of the Transferee Company shall be issued and allotted for every 1 share of fully paid-up Equity Shares of Rs.10/- each held in the Transferor Company"*

9. **ACCOUNTING TREATMENT**

The Learned Authorized Representative for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Company has complied with proviso to Section 230(7) / Section 232(3) of Companies Act, 2013 and the Accounting Treatment contained in the Scheme is in compliance with the applicable Indian Accounting Standards. The certificates issued by the Statutory Auditors

certifying the Accounting Treatment of the Petitioner Companies are placed as Annexure – 27 and 28 in the typed set filed along with the Petition.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analysing the Scheme in detail, this Tribunal is of the considered view that the Scheme as contemplated amongst the Petitioner Companies seems to be *prima facie* beneficial to the Petitioner Companies and will not be in any way detrimental to the interest of the shareholders or creditors of the Petitioner Companies. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme appended as Annexure "13" with the Company Petition as well as the prayer made therein.

10.2. The Learned Authorized Representative for the Petitioner Companies submitted that no investigation proceedings are pending against the Transferor Company or Transferee Company under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the Petitioner Company for oppression or

mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioner Companies.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act,2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company with effect from the Appointed Date.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company with effect from the Appointed Date.

(iii) That the Appointed date for the Scheme shall be **1st April 2020** as specified in the Scheme.

(iv) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company do without further application allot to such members of the Transferor Company as have not given such notice of dissent, as is required by Clause 11.1 of Part 'D' of the Scheme herein the shares in the Transferee Company to which they are entitled under the said Scheme.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within Thirty days of the date of receipt of certified copy of this order cause such certified copy to be filed with the Registrar of Companies in e-Form INC-28 and on such certified copy being so filed, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to the said Petitioner Company shall be consolidated accordingly.

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

- Sd -

ANIL KUMAR B
MEMBER (TECHNICAL)

- Sd -

Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)